

IN THE COURT OF APPEAL (CIVIL DIVISION)

Case No: CA-2022-000651

BETWEEN:

STERLING INVESTMENTS LTD

Appellant

- and -

BLACKWOOD CAPITAL PARTNERS LLP

Respondent

APPELLANT'S SKELETON ARGUMENT

A. INTRODUCTION

1. The Appellant seeks damages for breach of an investment management agreement, contending that the Respondent failed to exercise reasonable skill and care in managing a £45 million portfolio, resulting in losses of approximately £12 million.

B. RELEVANT FACTS

2. The Appellant entered into an Investment Management Agreement with the Respondent dated 15 March 2018.
3. The Agreement required the Respondent to manage the portfolio with reasonable skill and care appropriate to a professional investment manager.
4. Between September 2019 and March 2020, the Respondent concentrated 40% of the portfolio in technology sector derivatives contrary to the agreed risk parameters.
5. The Appellant suffered losses of £12.3 million when the technology sector experienced significant correction in Q1 2020.
6. Despite requests, the Respondent failed to provide adequate documentation of its investment rationale.

C. LEGAL FRAMEWORK

7. The relevant statutory provisions are:
 - Financial Services and Markets Act 2000, s.138D
 - Senior Courts Act 1981, s.35A

D. SUBMISSIONS

8. The Respondent breached its duty of care by failing to diversify the portfolio adequately.
9. The concentration in technology derivatives exceeded the risk parameters agreed in the Investment Management Agreement.
10. The Respondent failed to conduct adequate due diligence before making the investments complained of.
11. The losses were caused by the Respondent's breach of duty and not by unforeseeable market conditions.

E. AUTHORITIES

12. The following authorities are relied upon:

- Hedley Byrne & Co Ltd v Heller & Partners Ltd [1964] AC 465
- Henderson v Merrett Syndicates Ltd [1995] 2 AC 145
- Rubenstein v HSBC Bank plc [2012] EWCA Civ 1184

F. RELIEF SOUGHT

13. The Appellant respectfully requests that this Court:

- Damages in the sum of £12,300,000
- Interest pursuant to s.35A Senior Courts Act 1981
- Costs

Catherine Hughes KC

Catherine Thompson

26 November 2025

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